

OFFICE OF THE TOWN ATTORNEY
Kevin J. Geiger

MEMORANDUM

To: Mayor Stuart Fraser and Telluride Town Councilmembers
Town of Telluride Planning and Zoning Commission
From: Kevin J. Geiger, Town of Telluride Attorney 
Re: Legal Overview of Tract Y, Dakota Annexation, Town of Telluride, Colorado
Date: August 29, 2008

As a result of legal questions and concerns that have emerged associated with the Town of Telluride Lift 7 Subarea Plan, the purpose of this memorandum is to provide a legal overview of the status of Tract Y, Dakota Annexation, Town of Telluride, Colorado, which property is currently owned by the Telluride Ski and Golf Company, LLLP. The legal analysis provided in this memorandum includes reference to a number of recorded legal documents and annexation and plat maps. This memorandum attempts to provide direct reference and quotations to those specific lengthy documents; however, it may be helpful to review this memorandum with direct reference to the applicable legal documents and maps, a full set of which is available for review in the Office of the Telluride Town Attorney.

The Original (two phased) 1979 Annexation and Subdivision of Backman Village:

The Backman Village Subdivision has its origins in two separate 1979 petitions¹ by the Telluride Company ("Telco"²) to annex a portion of the Dakota Placer, totaling approximately 23 acres of real property located west and south of the then-current Town of Telluride boundaries. Following appropriate Town public hearings on the annexation petitions, the Telluride Town Council passed Ordinance No. 391 on June 28, 1979³ effectively annexing the above-referenced property. The attached map attempts to illustrate the areas included within that 1979 Backman Village Annexation. Telco retained a portion of the Dakota Placer, located south of the 1979 Backman Village Annexation and still within unincorporated San Miguel County, which included Tract Y, the parcel of property at issue in this memorandum. The important point is that the 1979 Backman Village Annexation did not include what is now known as Telski's Tract Y.

¹ The 1979 Backman Village annexation included an immediately subsequent secondary "Phase B" annexation that included Backman Village Lots 48A, 48B, Lot 49 and Lot 34B. (Both the initial 1979 Annexation and the Phase B Annexation will be hereinafter referred to as the "1979 Backman Village Annexation.")

² Telco is a Colorado dissolved corporation; the rights and obligations of Telco have been transferred and assigned a number of times since 1979, most recently to be held by the TSG Ski & Golf, LLC ("TSG" or "Telski"), the current operator of the Telluride Ski and Golf Resort.

³ Ordinance No. 391 was subsequently recorded with the San Miguel County Clerk and Recorder's Office on June 29, 1979 at Book 380, Pages 437-439.

1979 Backman Village Declaration of Protective Covenants, Conditions and Restrictions:

The 1979 Backman Village Annexation included a subdivision of the relevant property and also imposed a Declaration of Protective Covenants, Conditions and Restrictions, dated June 29, 1979 (the "Backman Village Covenants" or the "Covenants"). As part of the 1979 Backman Village Covenants, Telco placed certain restrictions and protections on the use of the lots, tracts, and other real property contained within the 1979 Backman Village Annexation. The Backman Village Covenants are purported to be for the protection and mutual benefit of Telco, Simonius, Vischer & Co. and the Town and all successors and assigns.

The Backman Village Covenants include numerous restrictions on the use and occupancy of the burdened property. Specific and limited to the analysis of this memorandum, the Backman Village Covenants included an amendment section that the "conditions, restrictions, stipulations, agreements and Covenants contained herein shall be waived, abandoned, terminated or amended only with the written consent of Telco and the Town." (Section 23 of the Backman Village Covenants.) However, in a recital to the Backman Village Covenants it is clear that Telco intended the Covenants to be what are legally termed "real covenants" that run with all of the property within the 1979 Backman Village Annexation. The legal effect of a real covenant, as stated in the Backman Village Covenants, is that such restrictions run to the benefit of subsequent purchasers "who may hereafter purchase or lease any of the lots, tracts, or other parcels of land depicted on the Plat with the following restrictions, covenants, and conditions all of which shall be deemed to run with the land and to inure to the benefits of Telco, Town, and all parties now holding or hereafter acquiring any right, title or interest of any such land depicted on the Plat..." (Section 1(c) of the Backman Village Covenants.)

Colorado law recognizes that a reference in a covenant document to covenants running with the land indicates an expressed intention that such covenants and agreements would be binding upon all owners of land, their successors, and assigns, until the covenants be terminated, either by terms of the agreement or by filing and recording a proper termination agreement. Brown v. McDavid, 676 P.2d 714 (Colo.App. 1983). Unlike personal covenants, which operate like general contract provisions and bind only actual parties to a covenant, real covenants "run with the land" and burden or benefit successors in interest. In order for a covenant to "run with the land," not only must parties intend to commit to the covenant or restriction, but the covenant must also "touch and concern" the land; that is, the covenant must closely relate to the land, its use, or its enjoyment. Lookout Mountain Paradise Hills Homewowners' Ass'n v. Viewpoint Associates, 867 P.2d 70 (Colo.App. 1993). Based on the above-cited provisions in the Backman Village Covenants it is clear that these restrictions are real covenants as pertains to the actual land annexed as part of the 1979 Backman Village Annexation.

The probable legal effect from these two seemingly contradictory statements in the Backman Village Covenants is that any effective amendment to the Backman Village Covenants would likely require consent from Backman Village landowners in addition to the consent from the Town and Telco (now Telski). Stated another way, although the Backman Village Covenants appear to state that an amendment can be perfected merely by the written consent of the Town and Telco, because

the Covenants run to the benefit of Backman Village landowners their consent to an amendment to the Covenants would appear to be required⁴.

In addition, the Backman Village Covenants include a limitation that the Town may only increase densities at variance from the plat "for the purpose of providing employee housing, if in the future the Town passes an ordinance requiring employee housing." (Section 30 of the Backman Village Covenants.)

Relationship of Tract Y to the 1979 Backman Village Annexation:

It is critical to recognize, however, that the 1979 Backman Village Covenants were imposing restrictions on only those lots depicted in the attached 1979 Backman Village Plat and Subdivision Maps. While the Backman Village Covenants did impose restrictions on the use and occupancy of the land included in the 1979 Backman Village Annexation, it is equally clear that the 1979 Backman Village Annexation did not impact what is now known as Tract Y. Following the 1979 Backman Village Annexation, Tract Y was still located within unincorporated San Miguel County and never actually created as "Tract Y" until 1980 (discussed in greater detail below). Tract Y was neither within the Town of Telluride, nor depicted on the 1979 Backman Village Annexation, Subdivision or Plat maps. Therefore, on its own, the 1979 Backman Village Covenants could not act-as-a burden on Tract Y, which was neither located within the Town of Telluride nor depicted as burdened property on the relevant 1979 Backman Village plat documents⁵.

Actions and Legal Documents Contemporaneous and Subsequent to the 1979 Backman Village Annexation That are Relevant to Tract Y:

The portion of the original Dakota Placer not annexed into Telluride in 1979 and located south of these two original annexation parcels was referred to as Telco's "remaining portions of the Dakota Placer that then lie beyond the municipal limits of the Town of Telluride." As part of the 1979 Backman Village Annexation, Telco signed a document referred to as the Lift Agreement⁶. The Lift Agreement was solely between the Town of Telluride, Telco and the Telluride Ski Area, Inc. The Lift Agreement included a number of commitments from Telco to the Town, including the following:

- Telco agreed that so long as the ski area was actually in operation that the Coonskin Lift [a/k/a Lift 7, which was erected and operational in 1975] shall remain as an operating lift, subject to replacement and substitution for efficiency

⁴ "The general law is well established that a covenant running with the land in a subdivision may be modified or terminated, when the covenant permits termination, upon the consent of a specified percentage of lot owners." Brown v. McDavid, 676 P.2d 714 (Colo.App. 1983).

⁵ Under Colorado law, real covenants must be clearly and expressly applied to land in order to burden or benefit real property. Implied covenants are only recognized in limited situations, most particularly in the case of a binding negative servitude or covenant that is associated with a common development scheme for a larger parcel of property. Taylor v. Melton, 274 P.2d 977 (Colo. 1954).

⁶ The Lift Agreement was recorded with the San Miguel County Clerk and Recorder's Office on June 29, 1979 at Book 380, Pages 434-436.

purposes with a similar lift serving the Telluride Face. (Section 1(b) of the Lift Agreement.)

- Telco agreed that within six (6) months of the original 1979 Backman Village Annexation that they would petition the Town to annex the remaining portions of the Dakota Placer (which property included what is now known as Tract Y). (Section 2(a) of the Lift Agreement.)
- As part of the commitment to annex the remaining portions of the Dakota Placer (including Tract Y), the Town and Telco agreed to the following:
 - Telco agreed to request from the Town “that the annexed land be zoned Open Space District so as to allow all ski area uses commonly associated with the operation of a ski mountain, including, but not limited to the placement of trails and development thereof, complete skier easement, roads and other such common associated uses. Such uses shall not include the construction of any residential, commercial or similar structures. The Town understands and agrees that such annexed land shall be for the purpose of developing and placing thereon, future ski lifts, trails, roads and other such related ski area uses that Telco, the Ski Area and the Forest Service deem proper. The Town finds and determines that such activities are sufficiently and completely governed and are within the jurisdiction of the U.S. Forest Service, State Tramway Board and other such Federal and State agencies which regulate, control and safeguard the activities of ski areas in the State of Colorado. Therefore the Town hereby determines that Telco and the Ski Area are and shall be exempt from any and all jurisdiction of the Town or any of its Boards, Departments or Agencies upon such annexed land, or any part of the Telluride Face, and agrees that it will not assert any jurisdiction thereon, except as to enforcement of the open space uses not permitted herein.” (Section 2(b) of the Lift Agreement⁷.)

Also in June of 1979, as part of the 1979 Backman Village Annexation, the Town and Telco entered into a “Contract Regarding Backman Village Subdivision” (hereinafter the “1979 Backman Village Contract”). The vast majority of the 1979 Backman Village Contract addresses infrastructure and development approvals associated with the 1979 Backman Village Annexation. However, in Section I(D) of the 1979 Backman Village Contract, the Town and Telco agreed as follows:

The parties recognize that presently the tracts of land delineated on page 2, Phases A and B of the Plat are not within the municipal limits of the Town of Telluride but are immediately adjacent thereto. The parties agree that these extra-territorial portions of the land shall be annexed to the Town pursuant to an unconditional Annexation Ordinance. An annexation

⁷ The restrictions and provisions of the 1979 Lift Agreement were essentially restated again in 1980 by the Town and Telco, following the annexation of Tract Y, in a document entitled Backman Village Subdivision Contract Addendum recorded in the real property records of the San Miguel County Clerk and Recorder's Office on August 7, 1980 at Page 387, Pages 878-881.

⁸ The Contract Regarding Backman Village Subdivision was recorded with the San Miguel County Clerk and Recorder's Office on June 29, 1979 at Book 380, Pages 405-422.

petition requesting annexation of such land has been filed in accordance with the Municipal Annexation Act of 1965, of the State of Colorado. **The Town and Telco recognize that this Contract shall insure that such land proposed to be annexed shall not exceed the constraints of the Town's existing commercial zoning regulations, the [Backman Village] Protective Covenants, and Plat restrictions for land immediately adjacent thereto and shall be in harmony with the actual character and usage of such adjacent land currently within the municipal limits of the Town.** (Section I(D) of the 1979 Backman Village Contract (emphasis added).)

Although the 1979 Backman Village Annexation and Subdivision did not impose the Backman Village Covenants on Tract Y, it is my legal opinion that the above-cited provision in the 1979 Backman Village Contract effectively indicated an agreement that the remaining portions of the Dakota Placer—property that Telco agreed and subsequently did annex into Telluride, which includes Tract Y—would not “exceed the constraints” of the Backman Village Plat restrictions and the Backman Village Covenants. In other words, the 1979 Backman Village Contract is an agreement between the Town and Telco that this future land to be annexed into Telluride (including Tract Y) would be subject to—and would not exceed the constraints—of the Backman Village Covenants.

Subsequently, on February 28, 1980, consistent with the commitment in the Lift Agreement and the 1979 Backman Village Contract, the Town approved Ordinance No. 416⁹, which annexed Telco's remaining portions of the Dakota Placer into the Town of Telluride. The associated annexation map with this 1980 Telco Dakota Annexation created Tract Y¹⁰. On the same day, by enactment of Ordinance No. 417¹¹, the Town of Telluride zoned Tract Y of the Dakota Annexation as part of the Town's Open Space Zone District.

Legal Conclusions and Summary:

In summary, the imposition of the Backman Village Covenants on Tract Y and the overlay of the other documents and agreements discussed in this memorandum results in a number of legal conclusions:

1) The Backman Village Plat documents indicate that no density or development was contemplated for Tract Y. Pursuant to Section 30 of the Backman Village Covenants, increased density can only be permitted on Tract Y if it is “for the purpose of providing employee housing.” In my opinion, if Tract Y were to be developed exclusively for employee housing at least two (2) initial matters must be resolved:

a) The Town and Telski (as successor to Telco) would have to amend the Lift Agreement to eliminate the prohibition on the construction of any residential,

⁹ Ordinance No. 416 was recorded with the San Miguel County Clerk and Recorder's Office on August 7, 1980 at Book 387, Pages 882-883.

¹⁰ Tract Y is 9.831 acres.

¹¹ Ordinance No. 417 was recorded with the San Miguel County Clerk and Recorder's Office on August 7, 1980 at Book 387, Page 884.

commercial or similar structures. Again, it is important to recognize that the Lift Agreement is only between the Town and Telco, and this Agreement is not a covenant that purports to run to the benefit of Backman Village; therefore, the only consent that is required to amend the Lift Agreement is between the Town and Telco¹².

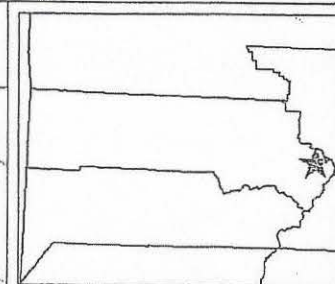
b) Assuming a satisfactory amendment to the Lift Agreement, as discussed above, Tract Y would also have to be rezoned from the Open Space District to an appropriate Zone District for employee housing, consistent with the standards in LUC Section 6-501 *et seq.*

- 2) If Tract Y were to be developed as anything other than employee housing, the above two conditions (Lift Agreement amendment and rezoning) must be satisfied along with a requirement to amend the Backman Village Covenants to permit such increased density for uses other than employee housing.

--End of Memorandum--

¹² The Lift Agreement includes a purported Town waiver or exemption for Tract Y from the jurisdiction of the Town of Telluride. Such an alleged waiver of the Town's police power—or what are sometimes referred to as reserved rights—would appear to violate the legal doctrine that a governmental entity cannot contract away its police power. *See e.g., Wheat Ridge Urban Renewal Authority v. Cornerstone Group XXII, L.L.C.*, 176 P.3d 737 (Colo. 2007); *United States v. Winstar Corp.*, 518 U.S. 839 (1996); *Georgia v. City of Chattanooga*, 264 U.S. 472 (1924). In any event, such purported waiver of jurisdiction could also be clarified and repealed in any amendment to the Lift Agreement.

Backman Village



Legend

- County Boundaries
 Highways - Colorado
 Roads - San Miguel County
 Lot Numbers
 Parcel Ownership
 Parcels with structure
 STRUCTURE

**1979 Backman Village
Annexation**

Tract Y



Scale: 1:5,149

Map center: 37° 56' 18.2" N, 107° 49' 9.4" W

0 300 600 ft.

This map is a user generated static output from an Internet mapping site and is for general reference only. Data layers that appear on this map may or may not be accurate, current, or otherwise reliable. THIS MAP IS NOT TO BE USED FOR NAVIGATION.

San Miguel County